

stocks that go down even though the earnings are up, because professional analysts and their institutional clients expected the earnings to be higher, or stocks that go up even though earnings are down, because that same cheering section expected the earnings to be lower. These are short-term anomalies, but nonetheless frustrating to the shareholder who notices them.

If you can't predict future earnings, at least you can find out *how* a company plans to increase its earnings. Then you can check periodically to see if the plans are working out.

There are five basic ways a company can increase earnings*: reduce costs; raise prices; expand into new markets; sell more of its product in the old markets; or revitalize, close, or otherwise dispose of a losing operation. These are the factors to investigate as you develop the story. If you have an edge, this is where it's going to be most helpful.